Central Bank Chairman's Handbook

Fortun.ai Economy System

Valaria Economic Authority

2026

Overview

The Central Bank (CB) is the monetary authority of your server's economy. It is **entirely separate from the Treasury** — the Treasury funds government operations and departments, while the CB controls the money supply, manages foreign reserves, and holds sovereign bonds.

Access: Only the server owner and users explicitly authorized via `/centralbank authorize add` can run CB commands. All CB command results are **public** — every member can see them.

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1. Authorization

Managing CB Access

Command	Description
`/centralbank authorize add user:@user`	Grant a user full CB access (owner only)
`/centralbank authorize remove user:@user`	Revoke CB access (owner only)

CB authorization is **completely separate** from Treasury authorization. You can give different people control of each institution. Discord Administrators and the server owner always retain CB access regardless.

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2. Balance & Reporting

The CB holds its own balance (`cbBalance`) which is separate from the Treasury's `balance`. Money printed by the CB enters `cbBalance` — it does not go directly into circulation until deployed.

Command	Description
`/centralbank balance`	View the CB's current internal balance
`/centralbank money-supply`	Full breakdown: wallets, banks, businesses, departments, treasury, CB
`/centralbank report`	Macro dashboard: total supply, strength score, reserves, total ever printed

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3. Printing Money

`/centralbank print amount: memo:`

Creates new money and credits it to the CB balance. The money **does not enter circulation immediately** — it sits in the CB until you deploy it via `/centralbank transfer`.

- The reply shows the expansion percentage relative to total circulation.

- Printed money's effect on the exchange rate only materialises once it circulates (enters wallets, businesses, treasury, etc.).
- Use `memo:` to document the reason (e.g., *"Stimulus package Q2"*).

When to print: Stimulus injections, funding sovereign expenditure, purchasing foreign reserves as a monetary policy tool.

When not to print: If your currency is already under attack (high C__n from foreign reserve accumulation), printing will worsen the exchange rate.

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4. Destroying Money

`/centralbank destroy amount: memo:`

Permanently removes money from the CB balance **and** from total circulation (`C_n`). This is the **primary tool for strengthening your currency**.

> **Important:** The CB can only destroy money it holds. To destroy more than your current `cbBalance`, first fund the CB via `/centralbank transfer` Treasury → CB (see Section 5).

When to destroy: When your currency is weakening — especially if foreign servers are accumulating your currency as reserves, inflating your `C_n`.

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5. Transferring Funds (CB and Treasury)

`/centralbank transfer direction: amount: memo:`

Moves funds between the CB and Treasury. Two directions:

- **Central Bank → Treasury:** Deploy CB funds into government operations (e.g., after printing stimulus money that needs to reach departments/citizens).
- **Treasury → Central Bank:** Fund the CB so it can destroy money or purchase foreign reserves without needing to print first.

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6. Foreign Reserves

Foreign reserves are holdings of **another server's currency**. They are accumulated **only through CB bond purchases** — there is no direct reserve buy/sell mechanism. Each bond purchase creates a reserve entry that inflates the issuer's `C_n` until the bond matures.

Commands

Command	Description
`/centralbank reserves view`	List all foreign currency holdings and current exchange rates

How Reserves Affect Exchange Rates

Every unit of Server B's currency held as reserves by **any** other server counts toward Server B's total circulation (`C_n`). Since the strength formula is:

$$S = \frac{\alpha(M+V)+\beta E}{C_n}$$

a larger `C_n` means a weaker currency. Bond purchases are the mechanism for building reserve positions.

Currency Attack Strategy

1. Accumulate CB funds (print, or receive incoming bond proceeds).
2. `/centralbank bonds buy` — purchase bonds from the target server.
3. Hold them until maturity — the target's `C_n` stays inflated and their exchange rate stays weak.
4. You also earn yield on maturity, making this profitable as well as geopolitically effective.

Currency Defence Strategy

If foreign CBs are holding bonds you issued, your `C_n` is inflated. Options:

1. Tax citizens → funds go to Treasury.
2. `/centralbank transfer` Treasury → CB.
3. `/centralbank destroy` → `C_n` drops → currency strengthens.

Reserve pressure from bond-holding CBs naturally unwinds when bonds mature and are redeemed.

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7. Sovereign Bonds (CB as Buyer)

The CB can purchase bonds issued by other servers' Treasuries. CB bond holdings count as **reserve assets** — they inflate the issuer's `C_n` the same way regular reserves do, but they earn a **yield** (you receive more than you paid at maturity).

Command	Description
`/centralbank bonds buy bond-id:`	Purchase an available bond using CB funds
`/centralbank bonds holdings`	View all bonds this CB holds, maturity dates, and face values

How CB Bond Purchases Work

When your CB buys a bond from Server B:

1. Your `cbBalance` decreases by the **purchase price converted to your currency** at the live FOREX rate.
2. Server B's treasury receives the purchase price in their own currency immediately.
3. A foreign reserve entry is created — **Server B's `C_n` increases** (their currency weakens).
4. At maturity, Server B pays back the **face value, converted to your currency** at the then-current rate.
5. The reserve position unwinds on redemption (their `C_n` returns to normal).

Bond Strategy

Approach	Effect
Offensive	Buy bonds of a target → inflates their `C_n` (weakens currency) AND earns yield
Cooperative	Buy bonds of an ally → funds their economy + aligns incentives (you want them stable so they can repay)
Risk	If the issuer defaults, the reserve unwinds but you lose the face value premium

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8. FOREX Mechanics

The Strength Formula

$$S = \frac{\alpha(M + V) + \beta E}{C_n}$$

Variable	Meaning	Weight
M	Messages sent in the last 30 days	$\alpha = 1.0$
V	Voice chat minutes in the last 30 days	$\alpha = 1.0$
E	Transactions in the last 30 days	$\beta = 2.0$
C_n	Total money in circulation	—

What counts in C_n: All personal wallet and bank balances, all business accounts, all department balances, the Treasury balance, the CB balance, and any units of your currency held as reserves by other servers.

Exchange Rate

$$\text{received} = \text{amount} \times \frac{S_{\text{home}}}{S_{\text{target}}}$$

- A higher S means a stronger currency.
- `/forex rate target-server:` — view the live rate between two servers.
- `/forex strength` — view your server's current metrics.
- `/forex exchange amount: target-server:` — execute a conversion.

Cold-Start Behaviour

New servers with no recorded activity get estimated metrics based on their registered member count (5 messages/member/month, 1 transaction/member/month). This prevents new servers from having zero strength immediately.

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9. Key Principles

1. **The CB balance is not in circulation until deployed.** Printing money only creates inflation potential — deploying it causes actual inflation.
2. **C_n is your primary lever.** Everything that affects exchange rates goes through the circulation figure. Control C_n to control your rate.
3. **Bonds are a dual-use weapon.** Buying another server's bonds inflates their C_n (weakening their currency) while also earning you yield at maturity. The attack and the profit come together.
4. **Bonds earn yield but carry risk.** A defaulted bond loses the face-value premium. Only buy bonds from servers you believe are economically stable or ones you can afford to pressure.
5. **Destroy, don't just hold.** Accumulating CB balance without destroying it does not strengthen your currency. The money must be permanently removed from `C_n`.

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10. Quick Reference

Goal	Action
See current CB balance	`/centralbank balance`
See full money supply breakdown	`/centralbank money-supply`
Create new money	`/centralbank print amount: memo:`
Remove money from circulation	`/centralbank destroy amount: memo:`
Move money CB → Treasury	`/centralbank transfer direction:CB→Treasury amount:`
Move money Treasury → CB	`/centralbank transfer direction:Treasury→CB amount:`
View foreign reserve holdings	`/centralbank reserves view`
Buy a sovereign bond	`/centralbank bonds buy bond-id:`
View CB bond holdings	`/centralbank bonds holdings`
View exchange rates	`/forex rate target-server:`
View strength metrics	`/forex strength`

Goal	Action
Execute currency exchange	`/forex exchange amount: target-server:`
Grant CB access	`/centralbank authorize add user:@user`
Revoke CB access	`/centralbank authorize remove user:@user`

This document is intended for the Central Bank Chairman and authorized personnel only.